

Chapter 7

Foundations of Control

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Managerial Functions

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graph TD; A[Managerial Functions] --> B[Planning]; A --> C[Organizing]; A --> D[Leading]; A --> E[Controlling];
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Planning

Organizing

Leading

Controlling

1

Explain the nature and importance of control.

2

Describe the three steps in the control process

3

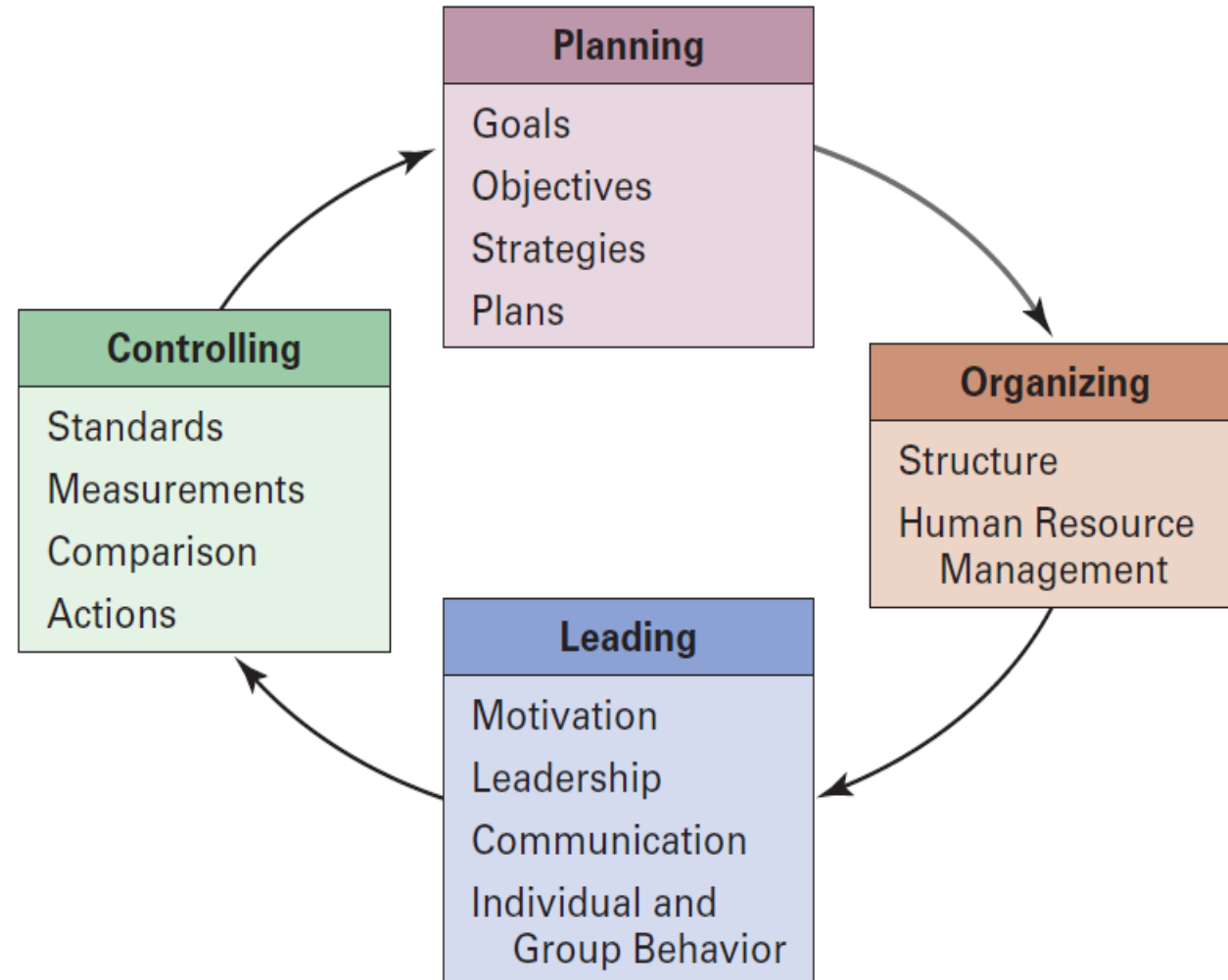
**Explain how organizational and employee
performance are measured**

4

**Describe tools used to measure organizational
performance**

Controlling

- The process of **monitoring activities** to ensure that they are being accomplished **as planned** and of **correcting** any **significant deviations**.
- Controlling is the final step in the management process.



Importance of Controlling

Characteristic	Description	Key Benefit
Accomplishing Organizational Goals	Bridges gap between planning and results	Helps meet annual targets
Judging Accuracy of Standards	Reviews performance standards for relevance	Aligns standards with current market conditions
Facilitating Decentralization and Remote Work	Allows autonomy with accountability	Enables monitoring without micromanaging
Efficient Use of Resources	Maximizes utilization of human, financial, material resources	Protects the organization's bottom line
Improving Employee Motivation	Provides clarity and objective appraisal	Increases morale and security
Risk Mitigation and Resilience	Acts as an early warning system	Adjusts strategy before crisis hits

New Trends in Controlling

1- The "Control Paradox"

- **Too much control can actually lead to less control.**
 - **Fact:** If a company spends **\$100,000** on security software and personnel to prevent the theft of **\$20,000** worth of office supplies, the control system has failed.
 - This is the "Efficiency Trap" effective control must be economically justified.
 - If the cost of the control exceeds the cost of the risk, you aren't managing; you're losing.



2- Agentic Control: The 2026 Revolution

In 2026, we have moved beyond simple "automated alerts." We are now in the era of

Agentic AI Control.

- **Autonomous Correction:** Unlike older systems that just flagged an error for a human to fix, "Agentic" systems can make decisions.

- For example, if an AI controller detects a supply chain delay, it can autonomously negotiate with an alternative vendor and reroute the shipment within set budget guardrails.

- **Self-Healing Processes:** In modern IT and logistics, "self-healing" controls can detect a bottleneck and reallocate server power or warehouse robots to fix the issue without a manager ever opening a laptop.



New Trends in Controlling

3- From "Policeman" to "Strategic Partner"

Historically, the "Controller" (or the management function of control) was seen as the corporate policeman.

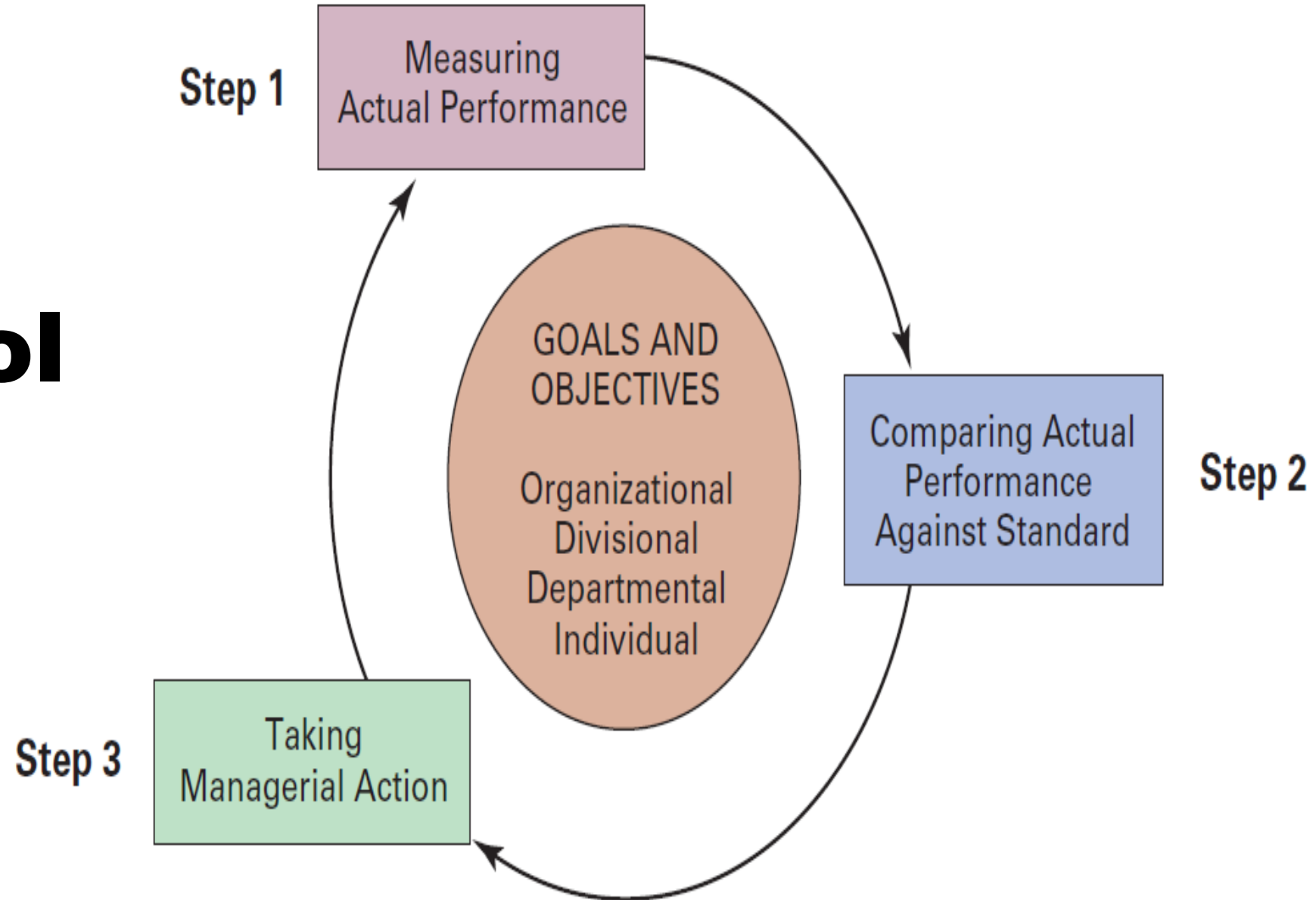
- Modern Shift:** Today, the goal of control is **Empowerment**.
 - In "Flat" organizations (like tech startups), control is decentralized. Instead of a manager checking work, **Radical Transparency** acts as the control. When everyone can see the project's data and progress, the "social pressure" and "collective visibility" replace the need for a traditional supervisor.



Comparison of Control Styles

Feature	Traditional Control	Modern (2026) Control
Primary Goal	Compliance & Discipline	Growth & Adaptability
Data Source	Monthly Reports (Static)	Real-Time Streams (Live)
Human Role	Investigator / Judge	Strategic Interpreter / Architect
AI Integration	Basic Alerts	Autonomous Agency (Agentic)

The Control Process



The Control Process

The control process involves three key steps:

- 1. **Measuring Actual Performance:** Assessing outcomes based on established benchmarks.
 - 2. **Comparing Performance Against Standards:** Evaluating actual results against predefined objectives or standards.
 - 3. **Taking Managerial Action:** Correcting deviations or adjusting standards as needed to align with goals.
- This process assumes that performance standards are already established during the planning phase.
 - These standards are often represented by:
 - **Key Performance Indicators (KPIs)**, measurable targets that track progress toward strategic goals.

Examples of Key Performance Indicators

Sales Department • Monthly sales growth • Monthly customers per sales rep • Quarterly sales bookings • Number of engaged leads in sales funnel • Average conversion time	Marketing Department • Monthly website traffic • Page likes and comments • Social media engagement rates • Number of new monthly leads • Click-through rate percentage
Human Resources Department • Monthly overtime hours • Quarterly training costs • Cost per new hire • Employee productivity • Monthly absenteeism rate	Customer Service Department • Customer satisfaction score • Customer retention rate • Monthly support ticket submissions • Average resolution time • Cost per resolution

Step 1: Measuring Actual Performance

Measuring actual performance is the first step in the control process and involves determining **what to measure & how to measure it**.

What To Measure

1.Key Performance Indicators (KPIs): These are metrics that guide the measurement of performance and ensure alignment with organizational goals. KPIs help identify what is important to measure.

Common metrics: These are specific measures that are commonly used to assess performance, such as:

1. **Costs:** the expenses incurred by the organization.
2. **Activity-specific measures:** metrics that track specific activities, such as:
 - **Delivery times:** how quickly products or services are delivered.
 - **Applications processed:** the number of applications received and processed.

- When **quantitative** metrics are unavailable, **qualitative** measures can serve as alternatives

For instance, Key Performance Indicators (KPIs) for Operations Manager:

- **Cost per Unit Produced:** Tracks the average cost to manufacture one unit of product, helping in cost control.
 - **Example: Reduce cost per unit by 5% through process optimization.**



Step 1: Measuring Actual Performance

How to Measure

•Qualitative Methods:

- **Personal Observation:** Provides firsthand insight but can be time-consuming, biased, and impractical for remote workers.
- **Oral Reports:** Gathered through [conversations](#), [meetings](#), and [calls](#), offering speed and tone interpretation but subject to filtering.
- **Written Reports:** [Emails](#) or [formal documents](#) provide structured information but lack immediate feedback.

•Quantitative Methods:

- **Statistical Reports:** [Charts](#), [graphs](#), and [numerical data](#) offer objectivity but depend on the type and availability of collected data.
- **Self-Monitoring Devices:** [IoT sensors](#) in devices collect real-time data, enabling automated corrective actions and reducing reliance on human intervention.



Step 2: Comparing Actual Performance Against the Standard

After measuring actual performance, the next step is to compare it to the standard or target set. This step helps to:

1. Identify variances: Determine if actual performance is **meeting** or **exceeding** the standard, or **if there are deviations**.

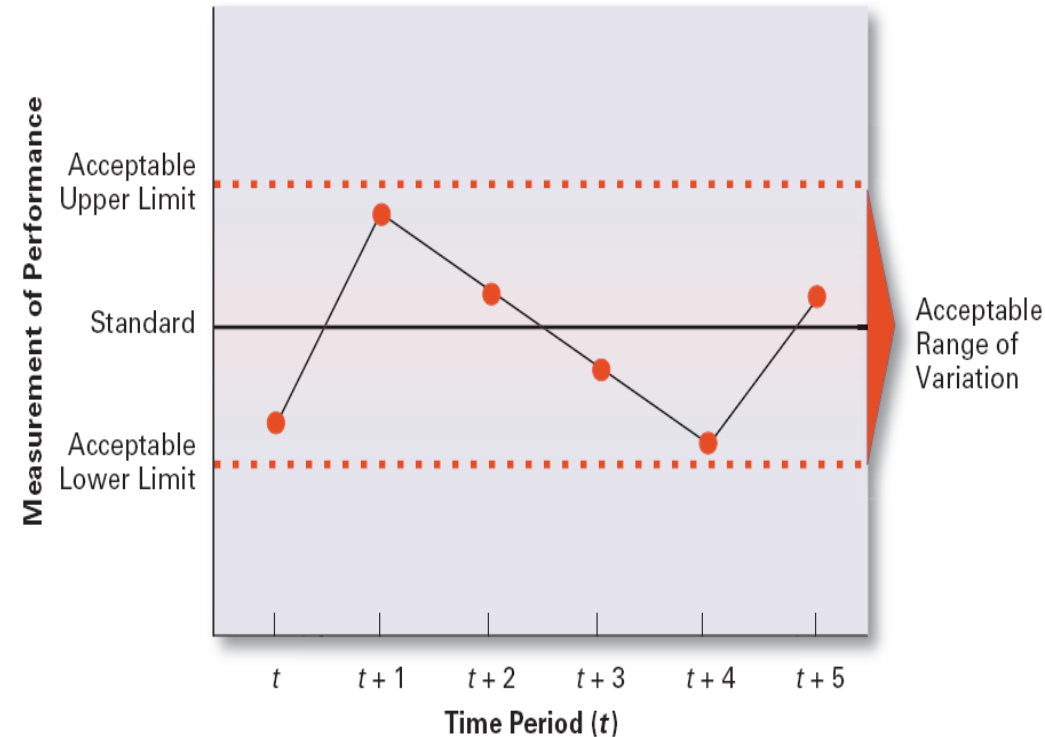
2. Analyze the gap: Identify the size and direction of the gap between actual and standard performance.

3. Determine cause: Identify the reasons for the gap, whether it's due to internal or external factors.

• **In Case of Overperformance in Specific Products:** If certain items, sell significantly more than expected, it may indicate that demand is higher than forecasted.

• **Implication:** The current inventory might not be sufficient to sustain this demand.

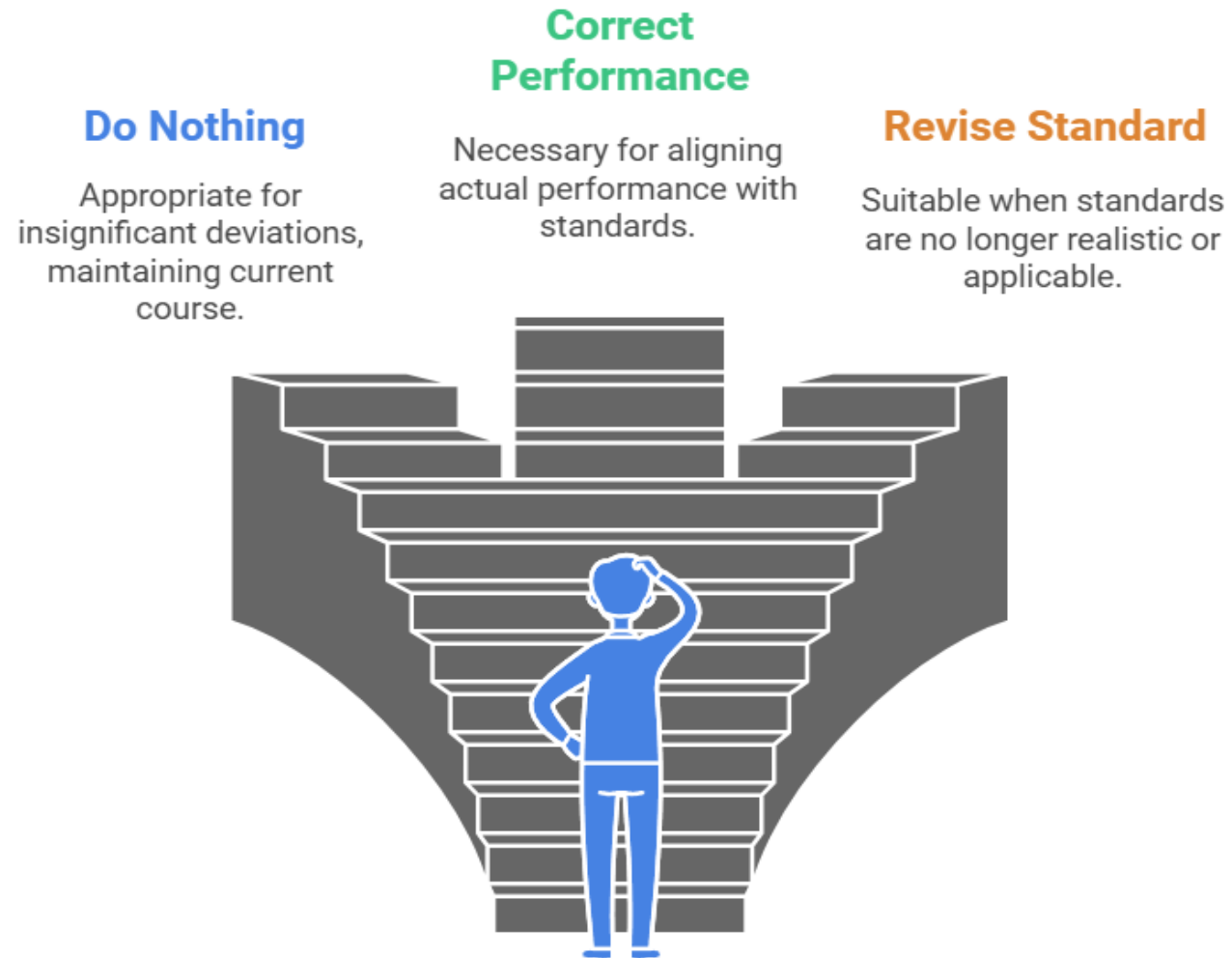
• If stock runs out, it could result in missed sales opportunities and dissatisfied customers.



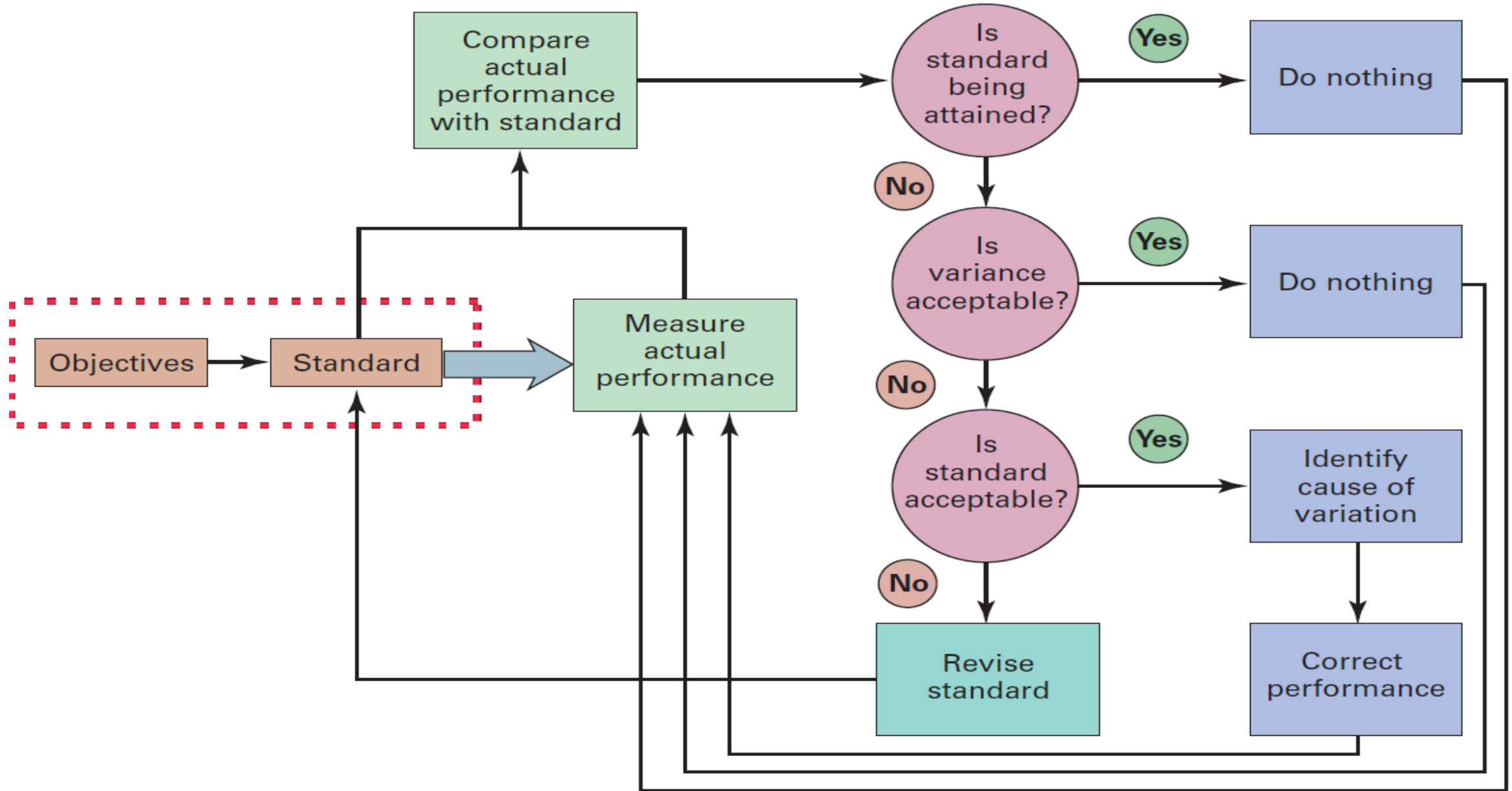
Step 3: Taking Managerial Action

Managers can address performance deviations through three approaches:

1. **Do Nothing** (if the deviation is insignificant).
2. **Correct Actual Performance:**
 - Take **immediate corrective action** to resolve problems quickly and restore performance.
 - Use **basic corrective action** to identify the root cause of the problem and implement lasting solutions.
3. **Revise the Standard:**
 - Adjust unrealistic goals if consistently underperformed or exceeded.

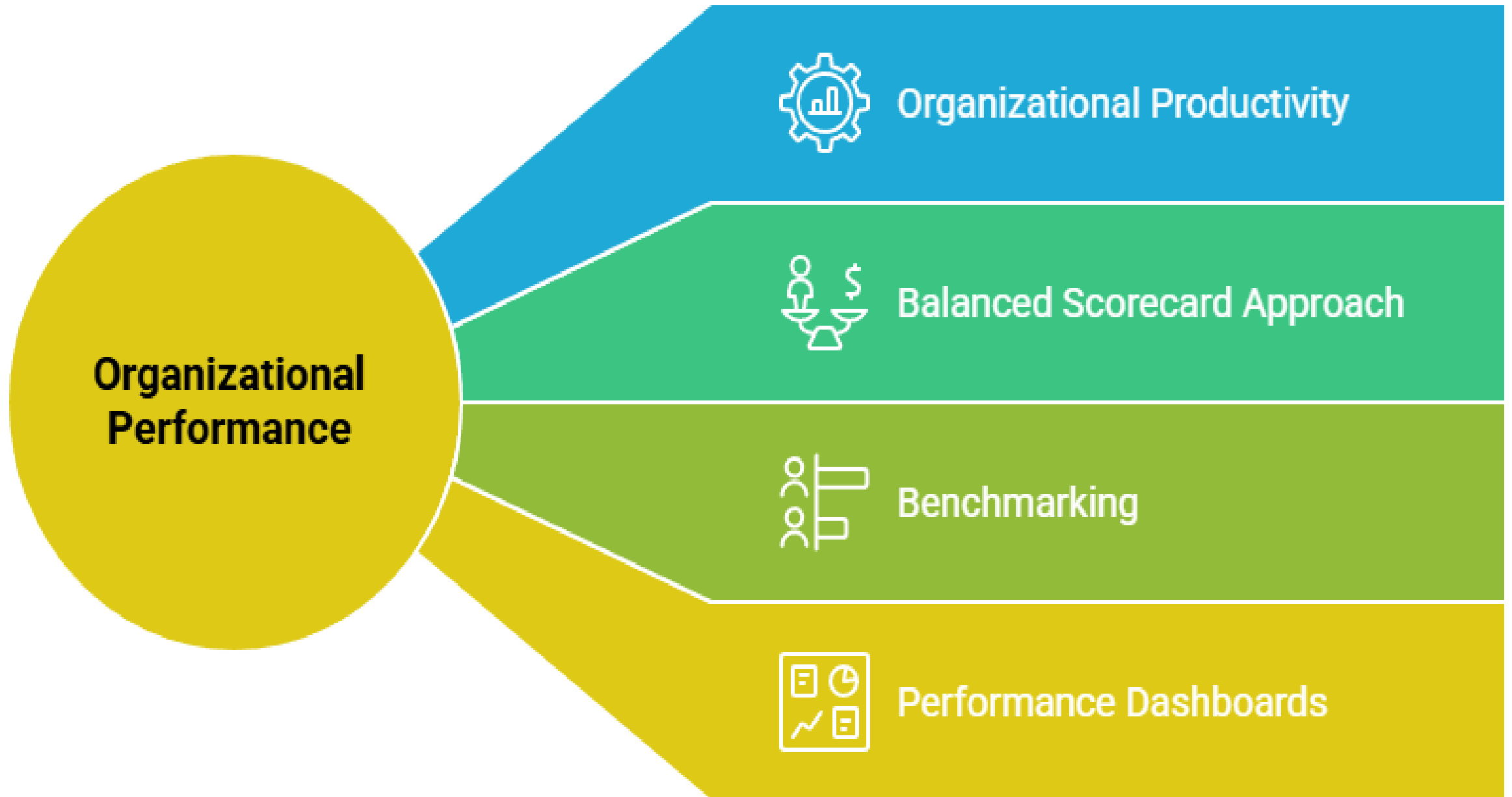


Managerial Decisions in the Control Process





Measuring organizational performance



1. Organizational productivity

Organizational productivity measures how effectively an organization turns **inputs** (resources and costs) into **outputs** (goods or services). It is calculated as **output divided by input**.

Increasing productivity can be achieved by :

Raising Output

(producing more with the **same resources**)

- Improving employee efficiency through training & skill development
- Adopting advanced technology & automation
- Streamlining workflows & eliminating bottlenecks
- Encouraging innovation & better work methods

Reducing Inputs

(maintaining output while using **fewer resources**)

- Optimizing resource allocation (labor, materials, energy)
- Implementing cost-saving measures (lean manufacturing, waste reduction)
- Outsourcing non-core activities for efficiency
- Negotiating better supplier deals to lower costs

2- The Balanced Scorecard Approach

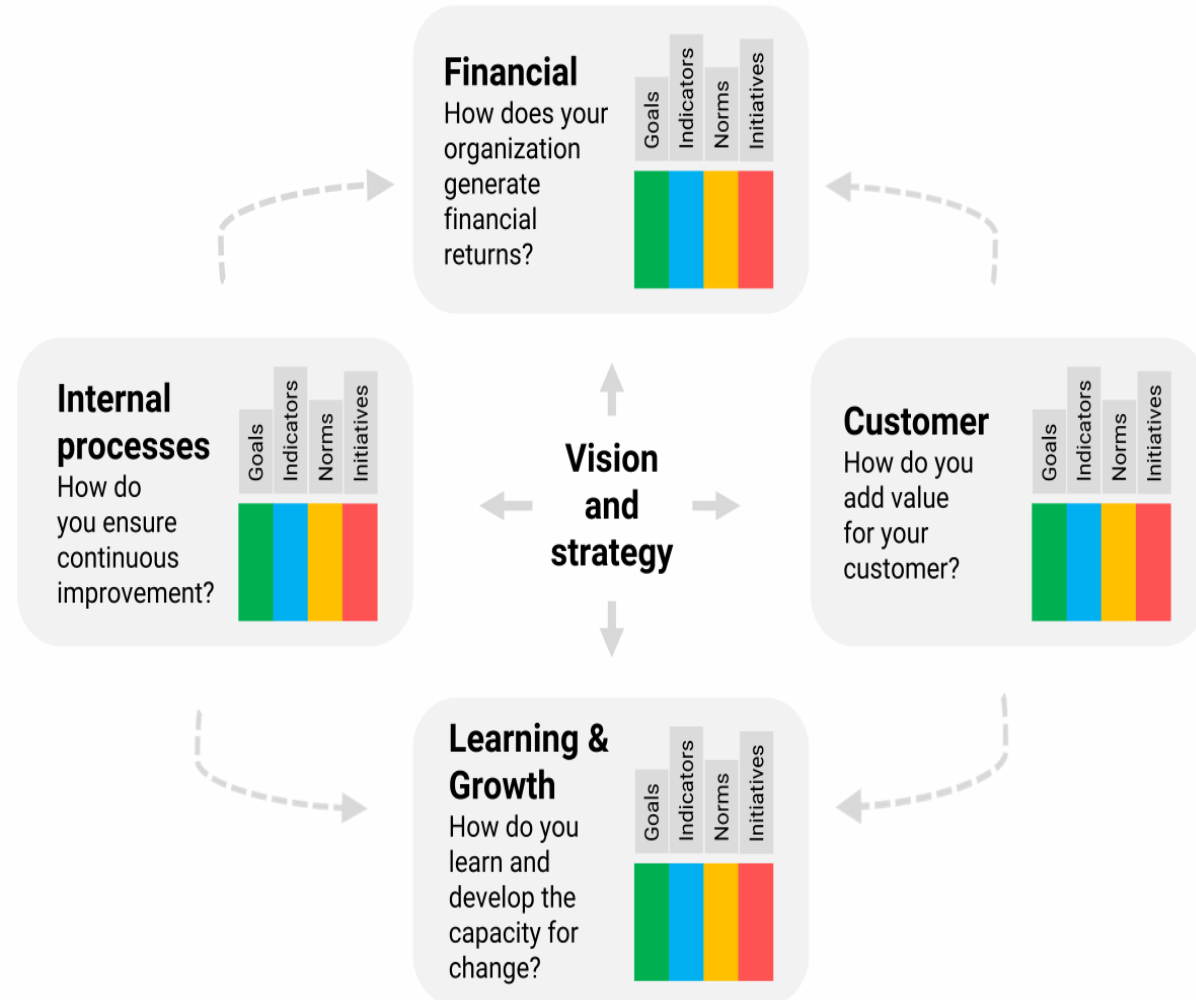
Four Perspectives:

A) Financial Perspective

- **What to measure:** Revenue growth, profit margins, ROI, cash flow, cost reduction
- **Example:** A retail company like Carrefour Egypt measures:
 - Year-over-year revenue growth: 15% target
 - Net profit margin: maintaining 8%
 - Return on Assets (ROA): 12%

B) Customer Perspective

- **What to measure:** Customer satisfaction, retention rate, market share, Net Promoter Score (NPS)
- **Example:** A telecom company like Vodafone Egypt tracks:
 - Customer retention rate: 85% annually
 - NPS score: +40
 - Customer complaint resolution time: within 24 hours



2- The Balanced Scorecard Approach

C) Internal Process Perspective

- **What to measure:** Process efficiency, quality metrics, cycle time, innovation rate
- **Example:** A manufacturing company measures:
 - Production defect rate: <2%
 - Order fulfillment time: 48 hours
 - Equipment downtime: <5%

D) Learning & Growth Perspective

- **What to measure:** Employee satisfaction, training hours, innovation metrics, employee retention
- **Example:** An IT company like IBM measures:
 - Employee engagement score: 75%+
 - Average training hours per employee: 40 hours/year
 - Employee turnover rate: <10%

3- Benchmarking

Comparing performance against standards.

Types:

1) Internal Benchmarking

- *Example:* Comparing performance of Cairo branch vs. Alexandria branch

2) Competitive Benchmarking

- *Example:* Comparing your customer service response time (2 hours) vs. competitor (4 hours)

3) Functional Benchmarking

- *Example:* A hospital benchmarking against hotels for patient room cleanliness standards

4) Best-in-Class Benchmarking

- *Example:* Egyptian bank studying Amazon's customer experience practices

4- Performance Dashboards

Visual tools that display real-time metrics.

Example Dashboard for a Retail Store:

Metric	Target	Actual	Status
Daily Sales	EGP 100K	EGP 95K	 Warning
Customer Traffic	500	500	 On Track
Conversion Rate	25%	30%	 Exceeding
Avg Transaction	EGP 400	EGP 365	 Warning
Employee Attendance	95%	97%	 On Track

Company Department Performance Dashboard

Overview of Key Performance Metrics



Department	Daily Sales (Target 100K EGP)	Customer Traffic (Target 500)	Conversion Rate (Target 25%)	Avg Transaction (Target 400 EGP)	Employee Attendance (Target 95%)	Overall Status
 Sales Department	EGP 95K 95%	500 100%	30% 120%	EGP 365 91%	97% 102%	Warning
 Marketing Department	EGP 105K 105%	550 110%	28% 112%	EGP 420 105%	96% 101%	On Track
 Operations Department	EGP 120K 120%	600 120%	35% 140%	EGP 450 113%	98% 103%	Exceeding
 Finance Department	EGP 85K 85%	450 90%	20% 80%	EGP 350 88%	93% 98%	Warning
 HR Department	EGP 100K 100%	500 100%	25% 100%	EGP 400 100%	95% 100%	On Track





Measuring employee performance

Purpose of Employee Performance Measurement

Before we discuss "how," understand "why":

Key Purposes:

- **Alignment:** Ensure employee efforts support organizational goals
- **Development:** Identify strengths and improvement areas
- **Recognition:** Reward high performers fairly
- **Accountability:** Address underperformance objectively
- **Decision-making:** Inform promotions, compensation, training needs

Employee Performance Measurement Process



1- Define Clear Expectations and Goals

Start with the job description:

- Ensure it accurately outlines the key responsibilities, tasks, and expected outcomes for the role.

Set SMART goals:

- Work with employees to establish Specific, Measurable, Achievable, Relevant, and Time-bound goals that align with their job description and the company's strategic objectives.

Set SMART Goals

Collaborate with employees to establish goals that align with strategic objectives.

Accurate Job Descriptions

Ensure the job description clearly outlines responsibilities and expected outcomes.



2- Choose Relevant Performance Metrics

- **Quantitative metrics:**

- These are measurable, objective criteria.
- Examples include sales figures, units produced, customer satisfaction scores, project completion rates, website traffic, or number of support tickets resolved.



Quantitative Metrics

Focus on measurable data for objective assessment



Qualitative Metrics

Emphasize subjective skills for holistic evaluation

- **Qualitative metrics:**

- These assess subjective aspects of performance.
- Examples include teamwork, communication skills, problem-solving abilities, leadership qualities, initiative, and adaptability.
- These are often evaluated through observations, feedback, and reviews.

3- Implement Performance Measurement Tools

- Performance reviews:**

- Regular (e.g., quarterly or annual) reviews provide formal feedback and assess progress toward goals.

- 360-degree feedback:**

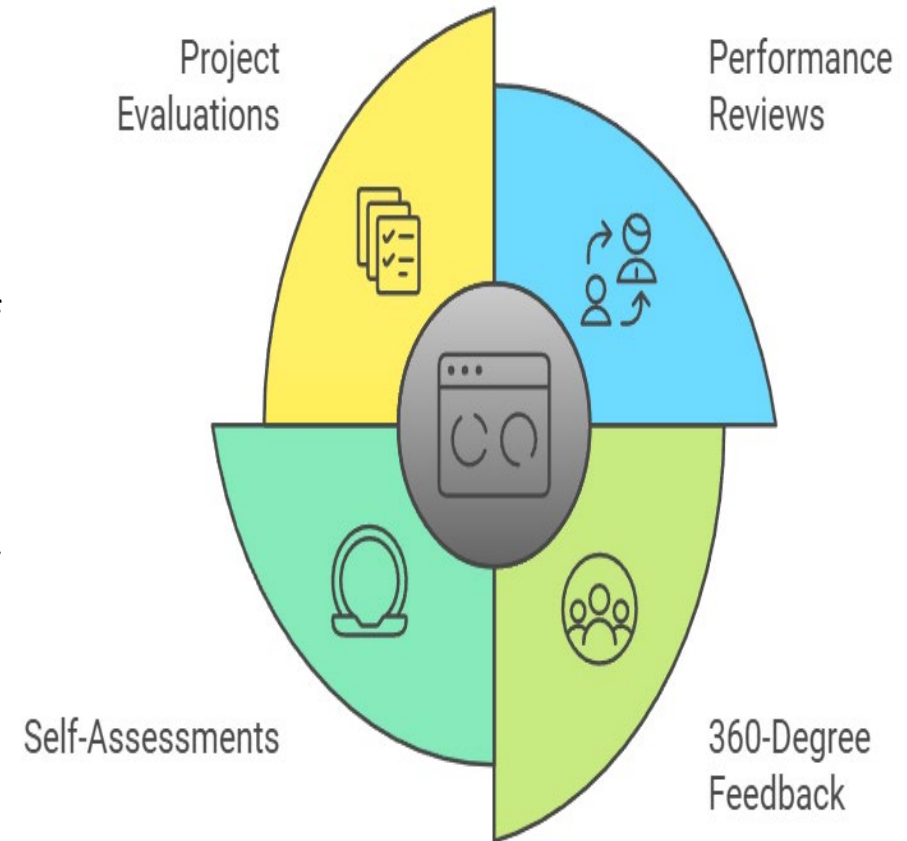
- Gather feedback from multiple sources, including [supervisors](#), [peers](#), [subordinates](#), and [even customers](#), to gain a comprehensive view of performance.

- Self-assessments:**

- Encourage employees to reflect on their own performance, identify strengths and weaknesses, and set development goals.

- Project evaluations:**

- Assess performance on specific projects, considering factors like [meeting deadlines](#), [staying within budget](#), and [achieving desired outcomes](#).



4. Provide Ongoing Feedback and Coaching

Regular check-ins:

- Manager shouldn't wait for formal reviews to provide feedback.
- Manager should provide frequent, informal check-ins to discuss progress, offer support, and address any challenges.

Constructive feedback:

- Focus on specific behaviors and their impact, offering suggestions for improvement.

Recognize and reward good performance:

- Acknowledge achievements and contributions to motivate employees and reinforce positive behaviors.



Employee Performance Dashboards

Metric	Target	Actual	Status
Ahmed	EGP 100K	EGP 60K	 Warning
Zeyad	EGP 100K	EGP 100K	 On Track
Fares	EGP 100K	EGP 110K	 Exceeding
Ali	EGP 100K	EGP 67K	 Warning
Merna	EGP 100K	EGP 97K	 On Track

Employee Performance Dashboard

May 25, 2025



Total Employees

5



On Track

2

40%



At Risk

1

20%



Critical

2

40%



Avg. Achievement

86%



Employee Performance

Employee	Target	Actual	Achievement	Status
A Ahmed	EGP 100K	EGP 60K	60%	خطر
Z Zeyad	EGP 100K	EGP 100K	100%	جيد
F Fares	EGP 100K	EGP 110K	110%	ممتاز
A Ali	EGP 100K	EGP 67K	67%	خطر
M Merna	EGP 100K	EGP 97K	97%	متابعة

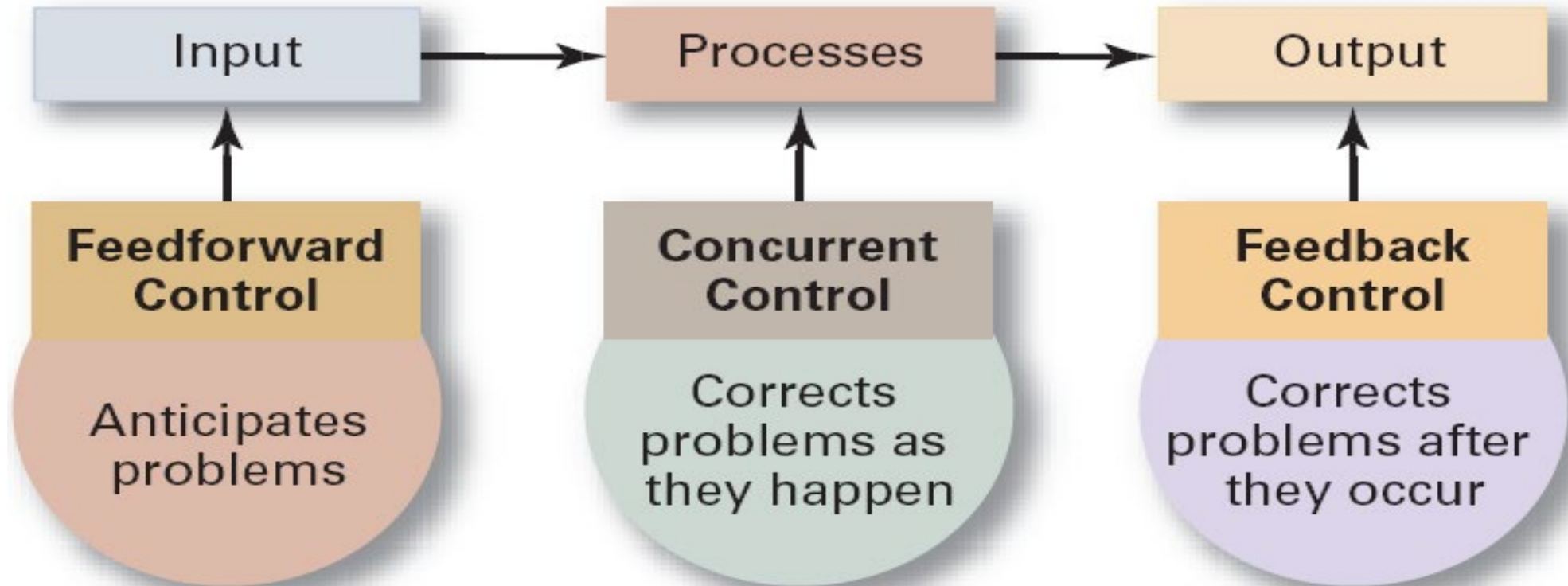
Performance Overview



خطر	2	40%
متابعة	1	20%
جيد	2	40%
ممتاز	1	20%



Feedforward/Concurrent/Feedback Controls



1. Feedforward Control

Feedforward Control:

- This type of control takes place before an activity begins and aims to prevent problems before they occur.

Key Feature:

- Focuses on preparation and future actions.
 - **Example:** A manufacturing company conducts scheduled maintenance for its machinery to avoid breakdowns during production.

When to Use:

- **In critical processes** where errors can lead to significant damage or high costs (e.g., safety, compliance).
- **When early preparation can eliminate potential problems** (e.g., product design, resource allocation).
- In industries requiring preventive measures, such as **healthcare**, aviation, or energy production.

2. Concurrent Control

Characteristics:

- Occurs while a work activity is in progress. It allows managers to correct problems before they become too costly.

Key Feature:

- Allows managers to address issues as they arise.
 - **Example:** In a restaurant, managers oversee kitchen operations during peak hours to fix inefficiencies immediately.

When to Use :

- **During processes** where errors can be corrected immediately to avoid delays or quality issues.
- **In fast-paced environments** where real-time adjustments are necessary (e.g., retail, manufacturing).
- When continuous monitoring is feasible and cost-effective.

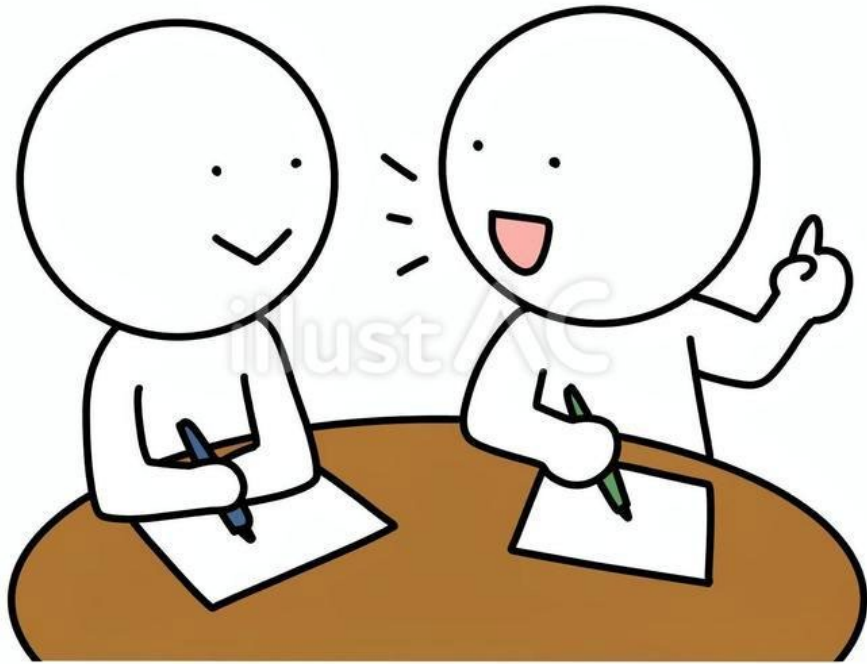
3. Feedback Control

Feedback Control:

- This is the most common type, but it happens *after* the activity is done.
- Evaluates outcomes after the activity is completed to identify and correct problems.
 - **Example:** Customers provide feedback on their meals after they've eaten, through surveys or online reviews. This helps the restaurant identify areas for improvement, but it's after the customer experience.

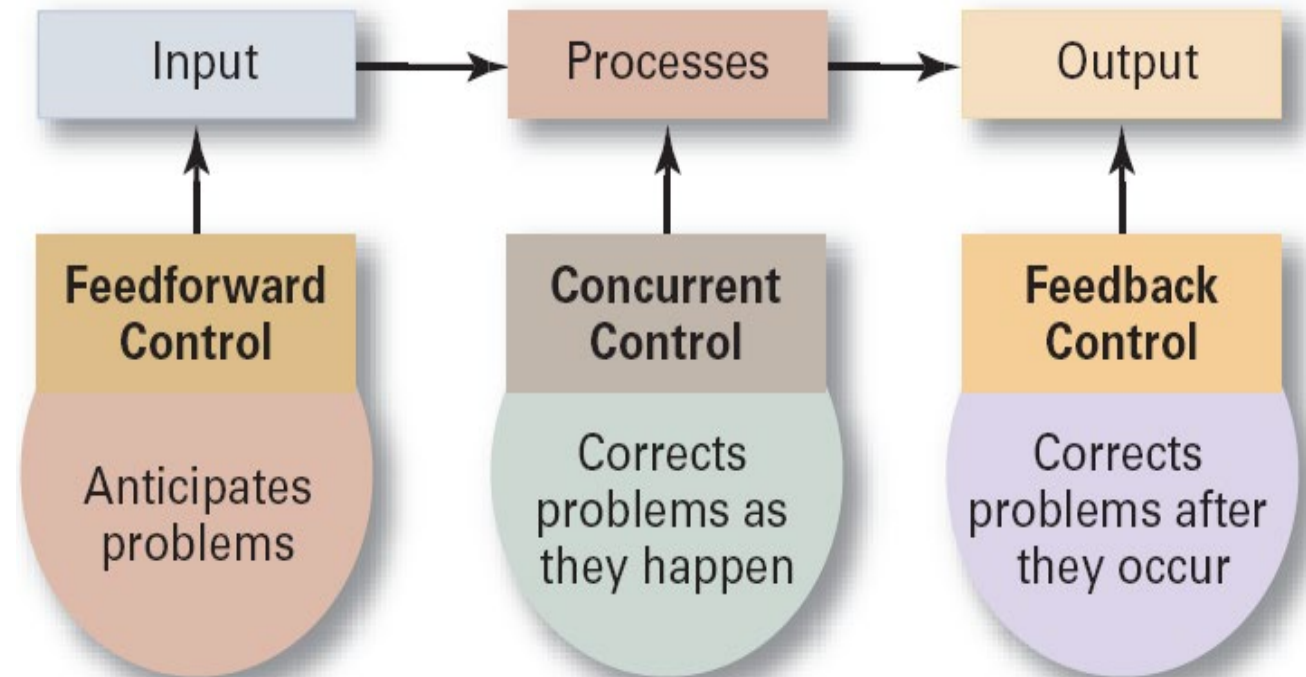
•When to Use:

- To evaluate long-term outcomes and identify trends or systemic issues.
- When the cost of real-time monitoring exceeds the benefits (e.g., large-scale manufacturing).



**ACTIVITY
WORKS**

What is the most appropriate type of control for your organization?





OKRs & KPIs



OKRs : Objectives and Key Results

OKRs (Objectives and Key Results) is a Goal-setting framework that defines ambitious objectives and measurable key results to track progress toward those objectives. It consists of two terms:

- Objective:** This is the goal that the company seeks to achieve, such as a **strategic initiative** or **a department goal**.
- Key Results:** The mechanism for tracking the progress required to achieve the Objective, using specific measurement points.

Example of OKRs:

- Objective** for the company or customer service department: "Improve Customer Experience"
- Key Results** could be:
 - Increase customer satisfaction ratings by 20% within 6 months.
 - Reduce the percentage of customer complaints by 20% compared to the previous period.

KPIs (Key Performance Indicators)

KPIs are measurable metrics used to evaluate how effectively an **organization, team, or individual** is achieving key business objectives.

- They provide quantifiable data to track performance, identify trends, and make informed decisions.

Examples of KPIs from Human Resources Management:

- **Employee Turnover Rate:** This measures the percentage of employees who left the company during a specific period. The objective of this KPI is to reduce the employee turnover rate to less than 10% annually, for example.
- **Time to Fill:** This measures the time taken to hire a candidate for vacant positions. The objective of this KPI is to reduce the average hiring time to less than 30 days.



Aspect	KPIs	OKRs
Purpose	Monitor ongoing performance	Drive change and growth
Timeline	Continuous/ongoing	Time-boxed (quarterly/annual)
Focus	Maintaining standards	Achieving breakthroughs
Scope	Departmental/Individual	Organization-wide alignment
Frequency of Change	Rarely change	Change each cycle
Nature	Reactive indicators	Proactive goals
Question Answered	"How are we doing?"	"Where are we going?"

The image features a central white square containing the text "Thank YOU!". The text is written in a dark blue, bold, sans-serif font. The word "Thank" is on the top line, and "YOU!" is on the bottom line. The letters are surrounded by a hand-drawn, wavy red line that forms a loose frame around the text. In the four corners of the overall image, there are decorative geometric shapes. The top-left and bottom-left corners feature overlapping squares in shades of light blue and medium blue. The top-right and bottom-right corners feature overlapping squares in shades of light purple and medium purple.

Thank
YOU!